

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC,

Complainant,

v.

COSCO Shipping Lines Co. Ltd.,

Respondent.

**RESPONDENT'S RESPONSES TO COMPLAINANT'S
PROPOSED FINDINGS OF FACT**

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COSCO Shipping Lines Co. Ltd. (“Respondent” or “COSCO”) respectfully submits its responses to Complainant TZ SSE Buyer LLC (“Complainant” or “TZ”) Proposed Findings of Fact (“CPFFS”). Complainant’s Proposed Findings of Fact are reproduced here verbatim, followed by Respondent’s Responses thereto in **bold** typeface.

1. This case arises from a Verified Complaint originally filed on February 14, 2024, by Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone”), alleging that Respondent COSCO Shipping Lines Co, LTD (“Respondent” or “COSCO”) violated the Shipping Act of 1984. **(Doc. No. 1.)**

RESPONSE: Admitted.

2. On September 27, 2024, the former complainants, Impact Products and Safety Zone, filed a motion for leave to amend the Amended Verified Complaint. **(Doc. No. 18.)** In the motion, they requested that TZ SSE Buyer, LLC (“Complainant”) be substituted as the sole complainant following their Chapter 11 bankruptcy and the sale of all of their assets, including all claims and causes of action, to Complainant. **(Id.)**

RESPONSE: Admitted.

3. On October 16, 2024, the former Presiding Officer granted the motion, and the Second Amended Verified Complaint (the “Complaint”) was filed on the same date. It was subsequently served on Respondent on October 17, 2024. **(Doc. No. 23-24.)**

RESPONSE: Admitted.

4. In the Complaint, Complainant, as the successor-in-interest to Impact Products and Safety Zone, alleges that Respondent violated 46 U.S.C. § 41102(c) and the Federal Maritime Commission’s (“FMC” or “Commission”) Interpretive Rule on Demurrage and Detention by

failing to establish and enforce just and reasonable practices related to the receipt, handling, storage, and delivery of cargo. **(Doc. No. 23, ¶ 11, 31.)**

RESPONSE: Admitted that TZ’s Second Amended Verified Complaint alleges a violation of 46 U.S.C. § 41102(c).

5. Specifically, Complainant asserts that Respondent imposed demurrage, detention, per diem, and yard storage charges on Impact Products and Safety Zone, through Laufer Group International (“Laufer”), during 2021 and 2022. **(Id. ¶¶ 13-15.)**

RESPONSE: Admitted in part, denied in part. Admitted that TZ seeks reparations in its Second Amended Verified Complaint for the alleged payment of demurrage, detention, per diem and yard storage charges. Denied as there is no evidence that any of the Charges imposed by Respondent were improperly assessed.

6. The Complaint further alleges that these charges were assessed for delays caused by systemic issues beyond the control of Laufer, Impact Products and Safety Zone, including port congestion and equipment shortages. **(Id. ¶¶ 3-4, 21-23.)**

RESPONSE: Admitted in part, denied in part. Admitted that TZ seeks reparations in its Second Amended Verified Complaint for the alleged payment of charges caused by systemic issues beyond the control of Complainant and its agents. Denied as there is no evidence that any of the Charges imposed by Respondent were improperly assessed.

7. Complainant also asserts that Respondent’s practices constituted an unreasonable refusal to deal or negotiate in violation of 46 U.S.C. § 41104(a)(10). **(Id. ¶ 12, 33.)**

RESPONSE: Admitted that TZ’s Second Amended Verified Complaint alleges a violation of 46 U.S.C. § 41104(a)(10).

8. In its answers to the Complaint, Respondent denies or claims to lack knowledge of most of the allegations made by Complainant in the Complaint. **(Doc. No. 27.)**

RESPONSE: Admitted.

9. Complainant is a Delaware limited liability company that acquired all assets of Impact Products and Safety Zone, including all rights and causes of action, through their bankruptcy sale. **(Doc. No. 18, p. 2 (Exhibit 2); Doc. No. 23, ¶ 2.)** This acquisition specifically included the claims brought in this case against Respondent. **(Id.)**

RESPONSE: Admitted.

10. Impact Products and Safety Zone were leading U.S. based suppliers in their respective industries. **(Doc. No. 23, ¶ 6.)** Impact Products specialized in manufacturing and distributing cleaning supplies and accessories, while Safety Zone focused on safety equipment and personal protective equipment. **(Id.)** Both companies operated under the parent corporation Supply Source Enterprises, Inc. (“Supply Source”). **(Id.)**

RESPONSE: Admitted in part, denied in part. Admitted that Impact Products and Safety Zone specialized in cleaning and safety equipment, respectively, and were operated under the parent corporation Supply Source. Denied that there is any evidence that either company was a “leading supplier.”

11. Impact Products and Safety Zone were considered “shippers” under 46 U.S.C. § 40102(23). **(Id.)**

RESPONSE: Admitted.

12. In May 2024, Supply Source and its affiliates, including Impact Product and Safety Zone, filed for Chapter 11 bankruptcy in the United States Bankruptcy Court for the District of Delaware, Case No. 24-bk-11055 (Bankr. Del.). **(Doc. No. 23, ¶ 2.)**

RESPONSE: Admitted that Supply Source and its affiliates filed for Chapter 11 bankruptcy in May 2024.

13. On July 10, 2024, all assets of Impact Products and Safety Zone, including all rights and causes of action, were sold to Complainant TZ SSE Buyer, LLC as part of a Chapter 11 bankruptcy sale. (*See Doc. No. 23, ¶ 2; Doc. No. 18, pp. 2-3 (Exhibit 2)*).

RESPONSE: Admitted.

14. Laufer is a global logistics company and a registered NVOCC, as defined under 46 U.S.C. § 40102(17). (**Doc. No. 27, ¶ 13; see Federal Maritime Commission, Ocean Transportation Intermediaries (OTI) List.**)

RESPONSE: Admitted.

15. During 2021 and 2022 (the “Relevant Period”), Impact Products and Safety Zone contracted with Laufer to manage the transportation and delivery of goods they purchased overseas. (**Doc. No. 23, ¶ 13-14; Ex. 1, CX_000001-000006**).

RESPONSE: Admitted.

16. Laufer handled all logistics associated with these shipments, including securing container space and arranging transport on ocean carrier vessels to ensure the goods were shipped to the United States. (**Doc. No. 23, ¶¶ 13-16; Ex. 1, CX_000001-000006**.)

RESPONSE: Admitted that Impact Product and Safety Zone outsourced logistics to Laufer.

17. To fulfill its role as logistics intermediary, Laufer entered into agreements to secure container space about Respondent’s vessels and to coordinate ocean shipping services for cargo owned by Impact Products and Safety Zone. Laufer was listed as the consignee and notify party on the relevant shipments and bills of lading. (**Doc. No. 23, ¶ 12-14; Ex. 1, CX_000001-000006; see Ex. 2, CX_001365-001366**.)

RESPONSE: Admitted.

18. During the Relevant Period, Impact Products and Safety Zone, through Laufer, shipped 1,577 containers (collectively referred to as “Relevant Containers”) using Respondent’s ocean vessels. (Doc. No. 23, ¶¶ 13-15; Ex. 1, CX_000001-000006, 000008-000025.)

RESPONSE: Admitted that COSCO acted as ocean common carrier for the Relevant Containers for various shippers and for Laufer as Consignee; denied inasmuch as not all of the Relevant Containers moved aboard vessels owned or operated by COSCO.

19. Once the containers carrying Impact Products’ and Safety Zone’s goods arrived at U.S. ports and were offloaded from the vessels to Respondent’s terminal space within the ports or to a container yard or rail yard, Laufer and Impact Products/Safety Zone arranged for drayage companies to pick up the containers, deliver them to their next destination, and return the containers to the designated location. (*Id.*)

RESPONSE: Denied inasmuch as Respondent does not operate terminals in the United States; otherwise, Respondent lacks information sufficient to admit or deny. Respondent has no independent knowledge regarding Impact Products and/or Safety Zone’s processes for handling inbound loaded ocean containers.

20. Laufer and Impact Products/Safety Zone used the following drayage companies: (1) Transnet, Inc.; (2) Sunburst Truck Lines, Inc.; (3) Galasso Trucking, Inc.; (4) Itz-Ohlson Transport, Inc.; (5) Sunteckts, a Mode Global Company; (6) D&M Trucking Services; (7) Golden State Logistics; (8) Miken Cartage, Inc.; (9) Steam Logistics, LLC; (10) RoadOne IntermodaLogistics, Inc.; and (11) Total Quality Logistics, LLC (Ex. 3, CX_001386-001396).

RESPONSE: Respondent lacks information sufficient to admit or deny. Respondent has no independent knowledge regarding Impact Products and/or Safety Zone's processes for handling inbound loaded ocean containers.

21. In addition to booking and coordinating logistics, Laufer was responsible for handling billing. (Ex. 1, CX_000001-000006.) During the Relevant Period, Laufer received invoices from Respondent for demurrage, detention, per diem, and yard storage charges related to the Relevant Containers. (*Id.*)

RESPONSE: Denied in part, in that Respondent does not charge yard storage. RX_000186-RX_000188 (McCown Dep. Tr. 169:19-171:21; 174:2-13; 178:6-179:7) RX_000111 (Kent Report at 35); RX_000044, RX_000051, and RX_0000622 (Hackett Report at 40, 47, and 58).

22. Of the Relevant Containers, Respondent imposed demurrage charges on 244 containers, detention charges on 15 containers, per diem charges on 73 containers, and yard storage charges on 312 containers. (Ex. 1, CX_000001-000006, 000008-000025; Doc. No. 23, ¶¶ 13-15.) These charges totaled \$1,656,492.00, which Complainant originally sought in damages as part of its Complaint. (*Id.*)

RESPONSE: Denied in part, in that Respondent does not impose yard storage charges. RX_000186-RX_000188 (McCown Dep. Tr. 169:19-171:21; 174:2-13; 178:6-179:7) RX_000111 (Kent Report at 35); RX_000044, RX_000051, and RX_0000622 (Hackett Report at 40, 47, and 58).

23. During discovery, Complainant produced an Excel spreadsheet summarizing the damages it sought (the "Original Damages Spreadsheet"). (Ex. 1, CX_000001-000006, 000008-

000020.) The Original Damages Spreadsheet was produced on July 29, 2024, as part of Complainant's responses to Respondent's First Set of Discovery Requests.

RESPONSE: Admitted that Complainant produced an Excel spreadsheet purporting to summarize its alleged damages on July 29, 2024.

24. A copy of the Original Damages Spreadsheet is attached as Exhibit A to the declaration of Lawrence Hallett. **(Ex. 1 (Exhibit A), CX_000001-000006, 000008-000020.)**

RESPONSE: Admitted.

25. The Original Damages Spreadsheet outlines all of the Charges at issue, organized by Laufer reference number, container number, and both house and master bill of lading numbers **(Id.)** It also identifies the amount of each invoice and categorizes whether the charge involves demurrage, detention, per diem, or yard storage. **(Id.)** The spreadsheet also includes subtotals by charge type and an overall total. **(Id.)**

RESPONSE: Admitted that Complainant produced an Excel spreadsheet purporting to summarize its alleged damages on July 29, 2024.

26. The Damages Spreadsheet was recently amended following the Presiding Officer's decision granting Respondent's Motion for Partial Summary Judgment with respect to shipments that were discharged at Canadian ports but had final destinations in the United States. **(Doc. No. 55.)**

RESPONSE: Admitted that Complainant amended its damages spreadsheet to exclude shipments not subject to the jurisdiction of the Federal Maritime Commission.

27. As a result of that ruling, Complainant's claimed damages have been reduced to \$637,195.21 across 228 shipments (collectively referred to as the "Charges"). An updated copy of the amended Damages Spreadsheet ("Amended Damages Spreadsheet") was provided to

Respondent and is included as part of the declaration of Lawrence Hallett at Exhibit B. **(Ex. 1 (Exhibit B), CX_000001-000006, 000019-000025.)**

RESPONSE: Admitted that, following the Order regarding shipments which did not move through a port of the United States, Complainant provided an amended spreadsheet identifying its purported damages.

28. The Amended Damages Spreadsheet reflects the removal of all shipments discharged at Canadian ports and includes only shipments that arrived at U.S. ports. This revision is supported by discharge location information contained in the corresponding invoices Notices of Arrival, and non-negotiable seaway bills produced by Laufer and Respondent during discovery. **(Ex. 1 (Exhibit B), CX_000019-000025, 000032-001355; Ex. 4, CX_001397-002138.)** All relevant invoices for the Charges are included in Complainant's Appendix in support of its Opening Brief, specifically in **Exhibit 1, CX_000032 through CX_001355.**

RESPONSE: Admitted that, following the Order regarding shipments which did not move through a port of the United States, Complainant provided an amended spreadsheet identifying its purported damages.

29. Although Laufer invoiced Impact Products and Safety Zone for the Charges, it acted solely as a conduit for Respondent's assessments. **(Doc. No. 23, ¶¶ 13-16; Ex. 1, CX_000001-000006.)**

RESPONSE: Respondent lacks sufficient information to admit or deny. Respondent has no independent knowledge regarding Laufer's billing practices.

30. Impact Products and Safety Zone paid the full \$637,195.21 to Laufer, which Laufer then remitted to Respondent. **(Id.)**

RESPONSE: Denied to the extent that many of the payments in question – including all yard storage charges – were not for invoices issued by or payments remitted to COSCO at all, but instead to the marine terminal operator(s) who assessed the charges.

31. On April 4, 2024, Laufer formally assigned the claims arising from these Charges to Impact Products and Safety Zone. A copy of the assignment document was included as part of the Complaint and produced during discovery. It is included as part of the declarations of Lawrence Hallett as Exhibit B. (Doc. No. 23, ¶ 16 (Exhibit A); Ex. 1 (Exhibit C), CX_000026-000031.)

RESPONSE: Admitted in part, denied in part. Admitted that Impact Products and Safety Zone obtained an assignment of claims only from Laufer, an FMC-licensed NVOCC and freight forwarder and licensed Customs’ broker. Denied that Complainant has obtained an assignment of claims from Laufer for any claims other than those alleged in the Complaint. Denied that Complainant has obtained any assignment of claims from any other entity to which Complainant alleges it paid any alleged “Charges.”

32. Respondent is an ocean common carrier, as defined under 46 U.S.C. § 40102(7), (18), regulated by the Federal Maritime Commission (“FMC”). (Doc. No. 27, ¶¶ 8, 10; Ex. 2, CX_001360.) Headquartered in China, Respondent operates across numerous countries, including the United States. (*Id.*; Ex. 2, CX_001360.)

RESPONSE: Admitted.

33. Respondent’s status as an ocean common carrier is further supported by the invoices, Notices of Arrival, and non-negotiable seaway bills related to the Relevant Containers and Charges, which were produced by Laufer and Respondent during discovery. (Ex. 1, CX_000032-001355; Ex. 4, CX_001397-002138.)

RESPONSE: Admitted.

34. Respondent conducts its business operations in the United States through its agent, COSCO SHIPPING Logistics (North America) Inc., with offices located at 100 Lighting Way, Secaucus, New Jersey 07094 (Doc. No. 27, ¶ 8, Ex. 2, CX_001360.)

RESPONSE: Admitted, except that Respondent's agent is COSCO SHIPPING LINES (North America), Inc.

35. As an ocean common carrier, Respondent provides containerized cargo transportation services to shippers around the world. (*Id.*) These services involve receiving, handling, storing, and delivering goods using its fleet of ocean vessels and a comprehensive logistics network (*Id.*)

RESPONSE: Admitted.

36. Under 46 U.S. Code § 40102(c), Respondent is required to establish, observe, and enforce just and reasonable practices in its handling and transportation of cargo. Additionally, it must comply with FMC guidance regarding demurrage and detention charges. (Ex. 2, CX_001369.)

RESPONSE: Admitted.

37. During 2021 and 2022 (the "Relevant Period"), Respondent transported Impact Products' and Safety Zone's goods from ports outside of the United States to United States ports, container yards, or rail yards for further inland distribution using its shipping containers and ocean vessels. (Doc. No. 23, ¶¶ 13-14; Ex. 1, CX_000001-000006, 000019-000025, 000032-0001355; Ex. 4, CX_00197-002138.)

RESPONSE: Denied to the extent that COSCO never issued any master bills of lading or sea waybills evidencing any goods that were owned by Impact Products or Safety Zone and these companies were therefore strangers to COSCO. Admitted to the extent that Respondent in

fact transported goods for Impact Products and Safety Zone as instructed by Laufer acting as consignee and notify party and other shippers at origin in Asia.

38. Respondent entered into agreements with terminal operators at U.S. ports to facilitate the offloading, handling, and temporary storage of the Relevant Containers transported under its ocean carriage. (Ex. 2, CX_001363.)

RESPONSE: Admitted that Respondent has agreements with terminal operators at U.S. ports to facilitate the offloading, handling, and temporary storage of containers it transports in U.S.-foreign trade.

39. Respondent has acknowledged that it regularly assesses demurrage, detention, per diem, and other accessorial charges as part of its normal, customary, and continuous business practices. (See Ex. 2, CX_001360, 001363.)

RESPONSE: Admitted that Respondent regularly assesses demurrage, detention and per diem charges as part of its ordinary course of business; denied with respect to other (undefined) assessorial charges.

40. During the Relevant Period, the shipping industry faced unprecedented challenges stemming from severe equipment shortages, and widespread port congestion. (Ex. 6, CX002147-002152.)

RESPONSE: Admitted.

41. These systemic issues, exacerbated by the COVID-19 pandemic, were widely reported and well-known throughout the industry, including by regulatory authorities such as the Federal Maritime Commission (“FMC”). (See *generally*, Ex. 5, CX_002139-002146; Ex. 6, CX_0022147-002152; Ex. 7, CX_002153-002167; Ex. 8, CX_002168-002181.)

RESPONSE: Admitted.

42. According to the FMC's 61st Annual Report for Fiscal Year 2022, during fiscal year 2022, U.S. exporters and importers dealt with supply chain challenges, including port congestion, significant demurrage and detention charges, and a lack of appointments, equipment, and vessel space. (Ex. 6, CX_002147-002152.)

RESPONSE: Admitted that this was a pervasive issue within the industry.

43. A surge in consumer demand, combined with port bottlenecks and equipment imbalances, created cascading disruptions throughout the entire supply chain. (*See generally*, Ex. 5, CX_002139-002146; Ex. 6, CX_002147-002152; Ex. 7, CX_002153-002167; Ex. 8, CX_002168-002181.)

RESPONSE: Admitted that the movement of the supply chain slowed during the Relevant Period.

44. For example, at the Port of Los Angeles, import volumes surged by 27% in June 2021 compared to the previous year, while the number of empty containers increased by 47%. This led to severe congestion, making it increasingly difficult to unload containers and move them out before free time periods expired. (Ex. 8, CX_002168-002181.)

RESPONSE: Admitted to the extent that import volumes surged during the Relevant Period, causing severe delays in the berthing of vessels at the Port of Los Angeles.

45. As a result, equipment shortages worsened, further straining U.S. exporters and importers' ability to manage freight operations. (*See generally*, Ex. 5, CX_002139-002146; Ex. 6, CX_002147-002152; Ex. 7; CX_002153-002167; Ex. 8, CX_002168-002181.) The imbalance in container and chassis availability caused containers to remain stuck at ports, compounding delays and hindering cargo movement. (*Id.*)

RESPONSE: Admitted that failure to timely return empty containers by importers led to equipment shortages that slowed the movement of the supply chain during the Relevant Period.

46. These widespread issues directly impacted Laufer's, Impact Products' and Safety Zone's ability to retrieve and return containers in a timely manner. (Ex. 1 CX_000001-000006.)

RESPONSE: Admitted that equipment shortages slowed the movement of the supply chain during the Relevant Period. Denied to the extent that Complainant has not demonstrated that its predecessors-in-interest or their agents were precluded from retrieving and returning containers they used in a timely manner.

47. Evidence of these logistical challenges is reflected in emails dated September 15, 2021, and October 7, 2021, from Laufer to Safety Zone concerning a Relevant Container. These emails specifically relate to the shipments associated with master bill of lading numbers COSU6305424860 and COSU6305796900. The emails state:

September 15, 2021 Email
Hi [Safety Zone],
Please see below update from carrier.

The ports are open and running this morning. Please have this paid through tomorrow, 9/16, to ensure we are able to have this pulled. There are many delays and lots of congestion as drivers have been stuck at the ports for hours this morning trying to pick up. I'm more than sure it'll remain this way throughout the day. Please see the below picture for your reference.

October 7, 2021 Email
Hi [Safety Zone],
Per the carrier, Do [sic] to the congestion at the ports and rails, and the lack of chassis. Our drivers are having to wait for chassis and/or hunt them down at different yards. This is helping to pay them to keep freight moving from the port and rails, and to offset their wait time for a chassis.

(Ex. 9, EX_002182-002197.)

RESPONSE: Admitted that these emails were produced by Complainant.

48. During the deposition of Respondent's corporate representative, Mr. Tom Takase ("Mr. Takase"), Vice President of COSCO SHIPPING Lines (North America) Inc., Mr. Takase testified that Respondent was aware of the widespread port congestion and equipment shortages affecting the maritime transportation logistics industry, including Respondent, through the Relevant Period. (*See Ex. 2, CX_001362.*) He acknowledged that these issues were significant and pervasive, impacting operations across multiple levels. (*See id.*)

RESPONSE: Admitted that Mr. Takase testified that COSCO was aware of the pervasive port congestion and equipment shortages issues during the Relevant Period.

49. Mr. Takase further testified that Respondent imposes demurrage, detention, per diem, and other accessorial charges as a standard and continuous part of its daily operations. (*See Ex. 2, CX_001360-001363.*) He confirmed that issues involving these charges are routine for Respondent and are addressed regularly in the course of business. (*See id.*)

RESPONSE: Admitted that Mr. Takase testified that COSCO imposes demurrage, detention, and per diem charges as part of its daily operations, and that disputes regarding such charges are routinely addressed by Respondent.

50. During the course of discovery, Respondent failed to provide substantive responses to Complainant's initial interrogatories and requests for production. This prompted Complainant to serve a deficiency letter, along with supplemental interrogatories and requests for production, on Respondent on January 10, 2025. (*Ex. 10, CX_002198-002228.*) Complainant requested that Respondent cure the outstanding deficiencies by providing complete and substantive answers to Complainant's interrogatories and by producing all documents relevant and responsive to Complainant's requests for production. (*Id.*)

RESPONSE: Denied that Respondent’s responses to Complainant’s initial requests were not “substantive.”

51. After Respondent’s continued non-compliance, Complainant filed a Motion to Compel on April 11, 2025, which was partially granted on May 15, 2025 (the “Order”). (**Ex. 11, CX_002229-002271; Doc. No. 46, 51.**) The Order required Respondent to respond to and produce the following information:

- a. All documents, including invoices and payment records corresponding to such invoices, bills of lading, service contracts, and relating shipping records concerning the Relevant Containers and Charges. This request was made through Interrogatory No. 7-8, 13, 17, and Requests for Production Nos. 3, 12.
- b. All documents connected with or relating to your common practices, policies and regulations in assessing demurrage, detention, per diem and yard storage charges, such as the Charges issued to Complainants during the Relevant Period as referenced in the Complaint. This request was made through Request for Production No. 11;
- c. For each demurrage, detention, per diem, or other accessorial Charge that Respondent issued as referenced in paragraphs 13-15 of the Complaint and the Original Damages Spreadsheet, explain in detail whether each invoice included specific instructions on how to dispute the Charges. This request was made through Supplemental Interrogatory 8.
- d. For the invoices in Respondent’s possession relating to the demurrage, detention, per diem, and other accessorial Charges referenced in paragraphs 13-15 of the Complaint and Original Damages Spreadsheet, identify the specific Person(s) or entity/entities who paid Your [sic] for these Charges. This request was made through Supplemental Interrogatory 14.

(Doc. No. 51.)

RESPONSE: Admitted.

52. Following the filing of the motion, on May 8, 2025, Respondent produced an Excel spreadsheet summarizing most of the demurrage Charges at issue. (**Ex. 12, CX_002272-002276.**)

The spreadsheet included information such as master bill of lading terms and indicated whether Respondent was able to confirm that it issued the demurrage Charges listed in Complainant's Original Damages Spreadsheet. (*Id.*) However, for the Charges it confirmed, Respondent did not produce all of the corresponding demurrage invoices or related shipping records that would have supported or explained those Charges. (Ex. 1, CX_000032-001355.)

RESPONSE: Denied that Respondent withheld any relevant invoices. Denied that Respondent “was able to confirm that it issued the demurrage Charges” as the majority of those invoices for which COSCO had information were issued by the marine terminal.

53. In particular, no invoices or other related shipping records were produced for the following container numbers:

- a. CCLU5189413; OOCU4895332; TCNU4624823; CSNU8445918
CBHU7040603; TCNU3854734; DFSU2974775; CCLU7255915
CSNU7738125; CBHU7002075; FSCU8027429; OOLU7704776;
TGHU6930932; UETU5691967; CSNU7612667; OOCU7675753;
TCNU4026668; TLLU5733877; CBHU8798835; TRLU7625276;
BMOU5513517; FCIU9669147; TRHU5515395; CCLU4780205;
FFAU3448075; CSNU1318980; CSNU6235240; UETU5366777;
CSNU6356961; FCIU9884073; SEGU5366408; CBHU9441919;
TEMU7879134; CCLU4979835; CBHU6277740; OOLU9389539;
TTNU4875462; CSNU6304660; CBHU9596490; SEGU6878883;
TLLU4155780; TGHU6568309; TGBU8885492; CCLU5299724;
FFAU2781667; CAIU8833704; CSNU6248210; CAAU6151446;
TRHU8745350; CSNU7367620; GCXU5479007; TGCU5060613;
CSNU6206160; OOLU4531661; CCLU4905489; CSNU7762883;
FSCU8621528; CSLU6187611; TLLU5730590; FSCU5006952;
OOCU7986354; CSNU7050507; CSLU6056484; OOCU8333694;
TCKU6138127; CSNU7785488; CAAU6113744; BSIU9552230;
TGBU8561620; CCLU6935820; FSCU8983975; CBHU6439034;
DFSU6090432; DFSU6087948; CBHU8653277; CCLU5218872;
CBHU9075194; OOLU4449785; CCLU4995498; OOCU7045543;
TCNU5145949; CSNU6608955; CSNU1179122; AMLU4054410;
TGBU4097661; MAGU5602324

(Ex. 1, CX_000032-001355, Ex. 12, CX_002272-002276.)

RESPONSE: Denied. Complainant's appendix fails to include all of the 115 invoices that were produced by Respondent. Thus, Respondent included the invoices produced to Complainant in discovery, but which Complainant did not enter into evidence in its Appendix (CX). Respondent answers in the table below, with citations to Respondent's Appendix (RX) and Bates numbers of those documents as originally produced to Complainant.

Container Number	Location in Respondent's Production
CCLU5189413	DET invoice produced: COSCO_0001814 (RX_000378) & COSCO_0000005 (CX_000032)
OOCU4895332	Terminal DEM – no COSCO invoice
TCNU4624823	Terminal DEM – no COSCO invoice
CSNU8445918	Terminal DEM – no COSCO invoice
CBHU7040603	Terminal DEM – no COSCO invoice
TCNU3854734	Terminal DEM – no COSCO invoice
DFSU2974775	Terminal DEM – no COSCO invoice
CCLU7255915	Unable to locate any invoice for this container
CSNU7738125	DET invoice produced: COSCO_0001956 (CX_000060)
CBHU7002075	Terminal DEM – no COSCO invoice
FSCU8027429	DET invoice produced: COSCO_0002132 (CX_000132)
OOLU7704776	Terminal DEM – no COSCO invoice
TGHU6930932	DET invoice produced: COSCO_0001972 (RX_000460-RX_000462)
UETU5691967	Terminal DEM – no COSCO invoice

CSNU7612667	DET invoice produced: COSCO_0001968 (CX_000066-CX_000068)
OOCU7675753	DET invoice produced: COSCO_0001960 (RX_000457-RX_000459)
TCNU4026668	Terminal DEM – no COSCO invoice
TLLU5733877	Terminal DEM – no COSCO invoice
CBHU8798835	Terminal DEM – no COSCO invoice
TRLU7625276	Terminal DEM – no COSCO invoice
BMOU5513517	Terminal DEM – no COSCO invoice
FCIU9669147	Terminal DEM – no COSCO invoice
TRHU5515395	Terminal DEM – no COSCO invoice
CCLU4780205	Terminal DEM – no COSCO invoice
FFAU3448075	Terminal DEM – no COSCO invoice
CSNU1318980	DET invoice produced: COSCO_0001829, COSCO_0002080 (CX_000041- CX_000042 and CX_000114-CX_000116)
CSNU6235240	Terminal DEM – no COSCO invoice
UETU5366777	DET invoice produced: COSCO_0001964 (CX_000063-CX_000065)
CSNU6356961	Terminal DEM – no COSCO invoice
FCIU9884073	Storage paid directly to rail – no COSCO invoice
SEGU5366408	Terminal DEM – no COSCO invoice
CBHU9441919	Terminal DEM – no COSCO invoice
TEMU7879134	Terminal DEM – no COSCO invoice

CCLU4979835	DET invoice produced: COSCO_0001988 (RX_000463-RX_000465)
CBHU6277740	Terminal DEM – no COSCO invoice
OOLU9389539	Terminal DEM – no COSCO invoice
TTNU4875462	Terminal DEM – no COSCO invoice
CSNU6304660	Terminal DEM – no COSCO invoice
CBHU9596490	Terminal DEM – no COSCO invoice
SEGU6878883	Terminal DEM – no COSCO invoice
TLLU4155780	Terminal DEM – no COSCO invoice
TGHU6568309	DET invoice produced: COSCO_0001996 (RX_000469-RX_000471)
TGBU8885492	DET invoice produced: COSCO_0001992 (RX_000466-RX_000468)
CCLU5299724	Terminal DEM – no COSCO invoice
FFAU2781667	Terminal DEM – no COSCO invoice
CAIU8833704	Terminal DEM – no COSCO invoice
CSNU6248210	Terminal DEM – no COSCO invoice
CAAU6151446	Terminal DEM – no COSCO invoice
TRHU8745350	Terminal DEM – no COSCO invoice
CSNU7367620	DET invoice produced: COSCO_0001956 (CX_000060-CX_000062)
GCXU5479007	Terminal DEM – no COSCO invoice
TGCU5060613	Terminal DEM – no COSCO invoice
CSNU6206160	Terminal DEM – no COSCO invoice
OOLU4531661	Terminal DEM – no COSCO invoice

CCLU4905489	Terminal DEM – no COSCO invoice
CSNU7762883	Terminal DEM – no COSCO invoice
FSCU8621528	Terminal DEM – no COSCO invoice
CSLU6187611	Terminal DEM – no COSCO invoice
TLLU5730590	Terminal DEM – no COSCO invoice
FSCU5006952	Terminal DEM – no COSCO invoice
OOCU7986354	Terminal DEM – no COSCO invoice
CSNU7050507	Terminal DEM – no COSCO invoice
CSLU6056484	Terminal DEM – no COSCO invoice
OOCU8333694	DET invoice produced: COSCO_0001964 (CX_000063 CX_000065)
TCKU6138127	Terminal DEM – no COSCO invoice
CSNU7785488	Waived – DET invoice produced: COSCO_002190 (RX_000524)
CAAU6113744	Terminal DEM – no COSCO invoice
BSIU9552230	Waived – Communications produced: COSCO_002192- COSCO_002195 (CX_002285- CX_002288), COSCO_0002203- COSCO_0002206 (CX_002296- CX_002299). Shipment appeared on waiver spreadsheet: (CX_002277-CX_002278)
TGBU8561620	Terminal DEM – no COSCO invoice
CCLU6935820	Terminal DEM – no COSCO invoice
FSCU8983975	Terminal DEM – no COSCO invoice
CBHU6439034	Terminal DEM – no COSCO invoice
DFSU6090432	Terminal DEM – no COSCO invoice
DFSU6087948	Terminal DEM – no COSCO invoice
CBHU8653277	Terminal DEM – no COSCO invoice

CCLU5218872	Terminal DEM – no COSCO invoice
CBHU9075194	Terminal DEM – no COSCO invoice
OOLU4449785	Terminal DEM – no COSCO invoice
CCLU4995498	DET invoice produced: COSCO_0002032 (CX_000099-CX_000101)
OOCU7045543	Terminal DEM – no COSCO invoice
TCNU5145949	Terminal DEM – no COSCO invoice
CSNU6608955	Waived - DET invoice produced: COSCO_0002190. Shipment appeared on waiver spreadsheet: COSCO_0002158 (CX_002277-CX_002278)
CSNU1179122	Terminal DEM – no COSCO invoice
AMLU4054410	Terminal DEM – no COSCO invoice
TGBU4097661	Terminal DEM – no COSCO invoice
MAGU5602324	Terminal DEM – no COSCO invoice

54. This lack of supporting documentation contrasts with the testimony of Respondent’s corporate representative, Mr. Takase, who stated that during 2020 and 2021, Respondent manually issued demurrage invoices to customers or drayage companies. (**Ex. 2, CX_001364.**) He testified, “ . . . it was a manual process. So the customers, if they’re unable to pick up the container within the free time, . . . they would have to submit a request to our office here in Houston, give us the planned pickup date . . . We would calculate the demurrage cost based on their planned pickup date and issue them the invoice to pay against.” (*Id.*)

RESPONSE: Denied, as shown in Respondent’s response to CPFF53, that there is any “lack of supporting documentation.” Admitted that Mr. Takase testified that invoicing demurrage was a manual process.

55. On May 21, 2025, Respondent produced another Excel spreadsheet identifying waived Charges for specific containers, including CSNU778548, CSNU660895, BMOU449481, and BSIU955223. (Ex. 13, CX_002277–002278.)

RESPONSE: Admitted.

56. On May 23, 2025, Complainant requested the supporting documents underlying the waiver decisions. On May 29, 2025, Respondent produced two responsive invoices reflecting the waived Charges, but did not produce any documentation explaining the rationale for the waivers. (Ex. 14, CX_002279-002299.)

RESPONSE: Denied. Respondent produced communications supporting the waiver decisions. CX_002282 – CX_002299.

57. The existence of these waivers indicates that certain Charges were disputed or challenged by parties involved in the transportation and handling of the Relevant Containers. With respect to waivers, Mr. Takase further testified that Respondent would “review cases for potential mitigation based on scenarios ... [where] the customer or the truck would submit a dispute.” (Ex. 2, CX_001362.)

RESPONSE: Denied. As testified by Mr. Takase, if COSCO was aware of a terminal closure it would have waived the charges on its own without a dispute or challenge. (CX_1362, Takase Dep. Tr. 18:11-25, 19:1-25, 20:1-10).

58. On May 21, 2025, Respondent produced its demurrage and detention policies. (Ex. 15, CX_002300-002329.) However, both documents indicated effective dates in 2024. (Id.) These were not the policies Complainant requested, nor were they responsive to the former Presiding Officer’s Order. (Doc. No. 51, p. 8.) Complainant specifically requested the detention and

demurrage policies that were in effect during the Relevant Period (2021-2022), which is when the Charges at issue were assessed, as defined in the Complaint. (*Id.*)

RESPONSE: Admitted that Respondent inadvertently produced the 2024 detention and demurrage policies instead of the 2021 and 2022 policies. Once alerted to this mistake, Respondent produced the pertinent policies on July 10, 2025. COSCO_0002207-COSCO_0002439

59. Lastly, on May 23, 2025, Respondent served on Complainant its supplemental responses to Complainant's discovery requests. (Ex. 16, CX_002300-002329.)

RESPONSE: Admitted that COSCO served responses to discovery requests on May 23, 2025, otherwise denied.

60. The Federal Maritime Commission's (FMC) Interpretive Rule on Demurrage and Detention establishes that the primary purpose of these charges is to incentivize the movement of cargo and promote freight fluidity. (Ex. 5, CX_002139-002146; Ex. 7, CX_002153-002167.) By encouraging shippers to pick up cargo and return equipment within the allotted free time, these charges aim to optimize the use of ports and supply chain infrastructure. (*See id.*)

RESPONSE: Admitted that the FMC's Interpretive Rule states that the primary purpose of detention and demurrage charges is to incentivize the movement of cargo and promote freight fluidity.

61. This principle places the burden of congestion on those best positioned to address it – such as ocean common carriers, seaports, and marine terminal operators – while recognizing that shippers should not be penalized for delays caused by factors beyond their control. (Ex. 5, CX_002139-002146.)

RESPONSE: Denied inasmuch as the Commission included beneficial cargo owners, NVOCCs, drayage providers in “those best positioned to address congestion.” Otherwise, admitted.

62. Under 46 U.S.C. § 41102(c) and 46 CFR § 545.5, the FMC is authorized to assess whether detention and demurrage charges are reasonable. (Ex. 7, CX_002153-002167.) For purposes of these rules, the FMC considers demurrage and detention “to encompass any charges, including per diem, assessed by ocean common carriers, marine terminal operators . . . related to the use of marine terminal space or shipping containers . . .” (*Id.*) Charges that fail to incentivize cargo movement, or that are imposed in situations where compliance is impossible, are deemed unreasonable. (*See id.*)

RESPONSE: Admitted.

63. The FMC evaluates the reasonableness of detention and demurrage charges based on several factors. These include, but are not limited to, whether the charges are tied to cargo availability, and whether carriers provide timely and clear notice of availability. (*Id.*)

RESPONSE: Admitted only to the extent that these are among many factors considered when assessing the reasonableness of detention and demurrage charges.

64. The FMC also may consider in the reasonableness analysis the existence, accessibility, content, and clarity of the policies implementing demurrage and detention practices and regulations, including dispute resolution policies implementing demurrage and detention practices and regulations regarding demurrage and detention billing. (*Id.*) In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements. (*Id.*) Practices that disregard these considerations are likely to be found unreasonable. (*See id.*)

RESPONSE: Admitted that the FMC considers in its reasonableness analysis the policies implementing detention and demurrage practices. Denied to the extent that Complainant implies that such analysis is dispositive.

65. The Interpretive Rule on Demurrage and Detention is not merely advisory. It is the FMC’s official interpretation of what constitutes unreasonable practices under 46 U.S.C. § 41102(c) and serves as the foundation for investigations into violations. (Ex. 5, CX_002139-002146.) Noncompliance may result in civil penalties or other enforcement actions. (*Id.*)

RESPONSE: Admitted that the Interpretive Rule on Demurrage and Detention is the FMC’s official guidance with respect to 46 U.S.C. § 41102(c). Denied to the extent that Complainant suggests that the Interpretive Rule is itself legally binding prior to the effectiveness of the Ocean Shipping Reform Act of 2022 (“OSRA22”) on June 16, 2022.

66. Through Fact Finding 29 and subsequent guidance, the FMC has reinforced that detention and demurrage charges must align with their purpose of incentivizing cargo movement. Imposing charges during periods of widespread equipment shortages or port congestion – when shippers cannot reasonably comply – violates FMC principles and is subject to scrutiny. (Ex. 5, CX_002139-002146; Ex. 8, CX_002168-002181.)

RESPONSE: Denied that the guidance issued by the FMC states that imposing charges during periods of congestion alone violates FMC principles.

67. Despite clear guidance established by the FMC, Respondent imposed the Charges during the Relevant Period even when systemic challenges – such as chassis shortages and congestion – made it effectively impossible to retrieve or return containers within the allotted free time. (Ex. 1, CX_000019-000025, 000032-001355; Ex. 4, CX_001397-002138; *see* Ex. 2, Ex_001362.)

RESPONSE: Denied that such Charges were issued in defiance of FMC guidance. Respondent's corporate representative, Tom Takase, testified that during the Relevant Period, the waiver process began when a customer or its agent submitted a dispute for a particular charge. COSCO would then review for "valid operational restrictions" and when such disputes proved valid, COSCO would mitigate the charges. CX_001362 (Takase Depo. 18:18-19:12).

68. These practices directly contravene the FMC's principle that demurrage and detention charges must incentivize cargo movement rather than penalize shippers for circumstances outside their control. (Ex. 7, CX_002153-002167.)

RESPONSE: Denied that Respondent's practices contravene the FMC's Incentive Principle.

69. Respondent failed to adjust its assessment of demurrage, detention, per diem, and other accessorial charges, despite being fully aware of the widespread logistical challenges during the Relevant Period. (Ex. 1, CX_000001-000006, 000019-000025, 000032-001355; see Ex. 2, CX_001362.) Rather than mitigating the impact of these systemic disruptions, Respondent continued to apply charges according to its routine practices, without regard for the barriers encountered by Laufer, Impact Products, Safety Zone, and their drayage providers. (*Id.*)

RESPONSE: Denied that Respondent issued any charges to Complainant's predecessors-in-interest. Admitted that, when appropriate as part of its regular course of business and according to the applicable bill of lading terms, tariff rules, and/or service contract, that Respondent charged Laufer or its drayage truckers detention and per diem; admitted that on rare occasions when requested, COSCO issued demurrage invoices to Laufer or its drayage truckers. Denied that COSCO did not waive any such charges. Denied that such

practices evinces any disregard for difficulties faced by Impact Products, Safety Zone, or its agents.

70. Some of the invoices produced by Respondent during discovery related to the Relevant Containers and Charges reflect a lack of transparency and accountability in Respondent's billing practices. (Ex. 1, CX_000032, 000034, 000036.) These invoices did not explain the basis for the Charges to include any information on how to dispute them – such as whom to contact, what documentation to provide, or the applicable deadlines for raising a dispute. (*Id.*)

RESPONSE: Admitted that certain pre-OSRA22 invoices omitted certain dispute resolution information. Denied that such invoices were at any time legally deficient. Further denied to the extent that Respondent's invoices "reflect a lack of transparency and accountability in Respondent's billing practices."

71. When questioned about Respondent's dispute resolution procedures, Mr. Takase testified that he did not know whether invoices issued in 2021 included any explanation of how to dispute the Charges. (Ex. 2, CX_001369.) This was corroborated by Respondent's supplemental discovery response, which acknowledged that not all invoices included specific instructions for disputing Charges. (Ex. 16, CX_002334.)

RESPONSE: Admitted that Mr. Takase testified that Respondent modified its invoices to reflect updated requirements as required by the FMC after the passage of OSRA22. Otherwise, denied.

72. Respondent's disregard for FMC guidance and the Shipping Act directly resulted in significant financial harm to Impact Products and Safety Zone.

RESPONSE: Denied that Complainant has provided any evidence whatsoever that Respondent disregarded either FMC guidance or the Shipping Act. Further denied that

Complainant has shown that it has incurred significant financial harm as a result of Respondent's actions.

73. During the Relevant Period, Impact Products and Safety Zone, through Laufer, shipped 1,577 containers using Respondent's vessels. (Ex. 1, CX_000001-000006, 000008-000025.) Respondent assessed a total of \$1,656,492.00 in Charges related to these shipments, of which Complainant currently seeks \$673,590.21. (*Id.*)

RESPONSE: Admitted that Complainant originally identified 1,577 containers in dispute. Admitted that Complainant has modified its damages calculation from \$1,656,492.00 to \$673,590.21. Denied that either amount reflects charges assessed completely by COSCO.

74. These calculations are derived from the damages spreadsheet that Complainant provided to Respondent during discovery. (Ex. 1, CX_000008-000025.) This spreadsheet was meticulously prepared using invoices from Laufer, which detailed the Charges assessed by Respondent. (Ex. 1, CX_000001-000006, 000032-001355.) The invoices included key information, such as the container numbers associated with each charge, the corresponding master bill of lading, and the ocean carrier responsible for transporting the cargo. (*Id.*)

RESPONSE: Denied to the extent Respondent has no independent knowledge regarding the creation or preparation of the spreadsheet in question. Denied that the invoices for Laufer detailed any Charges assessed by Respondent, as the Laufer invoices include neither a notation of whose charge it was assessing or any underlying invoice it purported to be "passing through" to Complainant. Denied to the extent that this spreadsheet itself is nothing more than an aggregate of Complainant's allegations.

75. Mr. Larry Hallett ("Mr. Hallett"), the Director of Global Logistics for Supply Source Enterprises and the former Director of Global Logistics for Complainant, verified the

accuracy of these charges. **(Doc. No. 23.)** Mr. Hallett's review ensured that the spreadsheet was an accurate and reliable summary of the Charges assessed by Respondent during the Relevant Period.

RESPONSE: See Response to CPFF74. Denied to the extent the invoices issued by Laufer were anyone's but Laufer's. Respondent lacks sufficient information to admit or deny. Respondent has no independent knowledge regarding the creation of the spreadsheet in question.

76. According to the expert report of John D. McCown, Respondent's financial performance was relatively modest prior to the COVID-19 pandemic but improved significantly during the Relevant Period. **(Ex. 17, CX_002359-60, 002393, 002401-02.)** Beginning in 2021, Respondent experienced a sharp rise in profitability. **(Id. CX_002361-62, 002365, 002393-94, 002401-02.)**

RESPONSE: Denied that the testimony, or analysis, of Mr. McCown is relevant or probative. Admitted that in 2021, COSCO (and other ocean common carriers) began to experience increased profitability.

77. In his report, Mr. McCown observed that, despite Respondent's surging revenue, its movement of Twenty-Foot Equivalent Unit ("TEU") cargo volume declined during the Relevant Period. **(Id., CX_002362-65, 002401-02.)** This decline coincided with a reduction in available vessel and terminal assets, highlighting a stark contrast between Respondent's operational activity and its significant revenue growth. **(Id.)**

RESPONSE: Denied that the testimony, or analysis, of Mr. McCown is relevant or probative. Further denied to the extent that Complainant implies that Respondent experienced decreased operational activity.

78. This is significant because demurrage and detention charges are included in Respondent's total annual revenue. (*Id.*) Respondent's own rebuttal expert, Paul E. Kent, confirmed that those charges are included in Respondent's annual revenue, highlighting the financial importance of these fees to Respondent's profitability. (Ex. 18, CX_002423.)

RESPONSE: Admitted that detention and demurrage charges are a fraction of Respondent's total annual revenue.

79. Mr. McCown's analysis further revealed that Respondent's demurrage, detention, and per diem rates at U.S. ports were between 115 and 192 times the total ownership and maintenance costs of a single container. (Ex. 17, CX_002373.)

RESPONSE: Denied that the testimony, or analysis, of Mr. McCown is relevant or probative.

80. Mr. McCown also found that there was no meaningful opportunity cost associated with unavailable containers during the Relevant Period. (Ex. 17, CX_002374-77.) As with the broader shipping industry, Respondent's vessels were operating at full capacity between Asia and the United States. (*Id.*) This meant that a specific container's unavailability did not result in lost shipments because there was no additional vessel capacity to accommodate extra loads. (*Id.*)

RESPONSE: Denied that the testimony, or analysis, of Mr. McCown is relevant or probative.

81. Between the second quarter of 2020 and the fourth quarter of 2022, the top nine container carriers, including Respondent, generated \$11.7 billion in demurrage and detention income. (*Id.*, CX_002393.) These carriers collectively represented 75.5% of the total container shipping industry revenue during this period, underscoring the significant role these fees playing in the industry's profitability. (*Id.*)

RESPONSE: Denied that the testimony, or analysis, of Mr. McCown is relevant or probative.

82. Complainant seeks reparations for Respondent's unlawful conduct in the amount of \$637,195.21 pursuant to 46 U.S.C. § 41305, with interest pursuant to 46 U.S.C. § 41305(a). Complainant also seeks an award of reasonable attorneys' fees as "the prevailing party" under 46 U.S.C. § 41305(e) and any additional relief that the Federal Maritime Commission deems just and proper.

RESPONSE: Denied that Complainant has demonstrated an entitlement to such reparations.